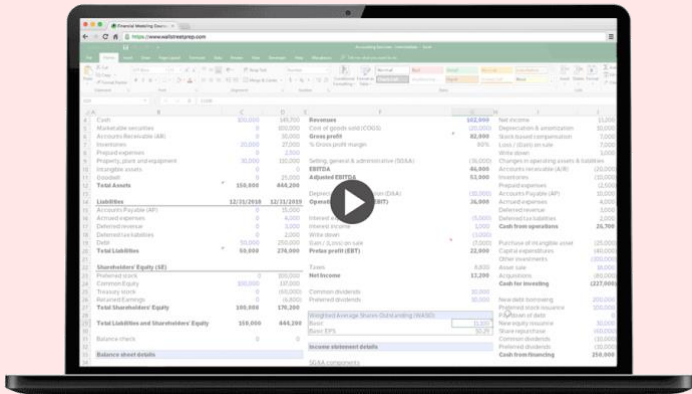


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Throughout this interview guide, we've included links to supplementary videos to dive deeper into more complicated topics. **If you purchased access to the supplementary videos, [Login Here](#).**



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Introduction

Technical Section Introduction

Dear Reader,

This interview guide was designed with a single goal in mind: To give you the tools to land a job in investment banking and other related financial services sectors.

There is much material to cover in this guide, so let's just dive right in. For virtually every technical interview question, there are some general principles to govern your approach:

Keep Answers Concise



One of the most frequently asked interview questions for investment banking is, "How do you value a company?" I could easily take an hour to explain how to value a company and I would barely scratch the surface. That's not what we're going for in an interview.

When asked an expansive technical question where you're unsure about the appropriate level of detail, it's reasonable to finish a succinct answer with, "Would you like a little more detail on any of this?"

However, while most candidates struggle with keeping answers brief, others have the opposite problem of not giving sufficient details.

As a rough guideline for questions without clear numerical or concrete answers, the answers ***should last at least 1 minute***. This shows the interviewer you're actually taking the time to think and come up with thoughtful responses.

For example, answering the question, "Walk me through the cash flow statement," by saying, "You start with net income, and then make non-cash adjustments to net income to arrive at cash for the year" would not be enough to show your understanding.

The interviewer just needs to understand that you can articulate concepts at a high level. In most cases, answers should be no longer than 2-3 minutes.

Avoid Rambling into Tangents



The longer your response goes on, the risk of being asked to elaborate on a topic you don't fully understand increases in tandem. That being said, ***don't extend beyond your comfort zone*** and keep answers short to avoid giving the interviewer extra reasons to probe deeper.

Upon responding to a question, a momentary pause from the interviewer is normal, so don't misconstrue it as meaning that further explanation is required on your end.

To be able to wait patiently after giving your initial answer shows that you recognized the concept the interviewer was testing for, and have confidence that an adequate response was provided.

The more tangents in your answer, the more likely a difficult counter-point could be brought up.

Handle Difficult Questions Effectively

It's a near certainty that you'll be asked a question to which you don't know the answer.

Just remember to remain calm and not let the interviewer see you sweat. Firms want to hire individuals who are presentable to clients, so remaining calm while under pressure is essential.

The most important thing is that if the interview takes a turn in the wrong direction: ***don't fall into a downward spiral*** because it's rarely as bad as you might think.

There are three types of approach you can take when you're unsure how to answer a question:

1

If you kind of know something related to what is being asked

First and foremost: avoid guessing. Instead, look for a way to describe the parts of the question you understand and then be upfront about where you're unsure.

For example, if you're unsure how to answer: "How would you value a bank?" You might say, "Well, I know that banks are different from traditional companies in that their main source of revenue comes from interest on loans, but I don't think I understand bank valuation that well and this is definitely something I plan to look into after this interview."

2

If you think you know the subject matter but don't understand the question

When a question is asked in an unclear or vague manner, you'll want to reformulate the question back to the interviewer for some clarification.

For example, if an interviewer asks: "Is EBITDA usually lower or higher than cash flow?" You could begin by asking, "Just to confirm I'm understanding the question correctly, are you defining cash flow here as unlevered free cash flows or as operating cash flows?"

3

If you just flat out don't know the answer

In this situation, it's preferable to say, "Honestly, I would need to think about that more and would rather not guess because I don't think I'll be able to give a sufficient answer."

Here, it's necessary to come off as humble as you don't want to appear indifferent to the fact that you don't know the answer. An important part of damage control is using the opportunity to show the interviewer your professionalism under stress. While not a technical skill, this is a key interpersonal skill that firms look for.

Prioritize Based on the Specific Role

How you allocate your time while preparing for interviews is more important than how many hours you spent. For this reason, decide which career path you're most interested in recruiting for and then ensure that your time is being spent in the right places.

The table below, which uses “Harvey Balls” (a favorite in investment banking pitch books), provides an overview of which sections of this guide to focus on based on the specific role you're pursuing:

	Investment Banking	Private Equity	Restructuring	Hedge Fund/ Equity Research	Corporate FP&A	Sales & Trading
Accounting						
Valuation						
Mergers & Acquisitions						
Leveraged Buyouts						
Capital Markets / Financing						
Industry Specific	Very likely if interviewing with a firm with industry specialization or with a specific industry coverage group Less likely if interviewing with an industry-agnostic firm that covers many sectors or with a generalist group					
Behavioral						

Suppose you're interviewing for an investment banking role. Questions about leveraged buyouts will come up far less than if you were interviewing for private equity – just keep in mind that **any question is fair game**.

But if you do get asked about LBOs, it'll most likely be a simple question such as, “What is the basic intuition behind an LBO?” as opposed to, “Walk me through how to model a dividend recap.”

This interview guide has been organized such that each subsection within a major topic starts with the most frequently asked questions. If you're focusing on a career path that doesn't go deep into a section, you should at least go through the most frequently asked questions for that section.